

NVIDIA Corporation

NVDA NASDAQ

Buy	\$218.89 ▲ 0.62%	12M Price Target \$260.00	52-Week Range \$164.07 – \$236.54	Market Cap \$5.29T
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NVDA: OpenAI Data Center Deal Reinforces AI Spending Cycle

WHAT HAPPENED

- The OpenAI/SB Energy news matters more than the small price move suggests — OpenAI just secured \$5.5B in warrants (basically the right to buy stock later at a set price) to lease NVDA-powered AI data centers. That's another concrete signal that the AI infrastructure buildout isn't slowing — it's getting financialized, with energy companies now taking equity stakes to fund it.
- The stock gave back some of Thursday's monster 8.7% rip on huge volume (299M shares) — normal digestion after a big move, not a trend change. You're still sitting at 76% of the 52-week range, which means bulls are in control.

WHY IT MATTERS

Here's the real signal: OpenAI needing warrant-backed financing to lease NVDA-hardware data centers tells you demand is outrunning cash flow — customers are literally getting creative to fund GPU access. That's the opposite of an AI bubble popping; it's a supply-constrained market where NVDA holds pricing power. The options flow is mixed (heavy puts AND calls at \$220 — traders are betting on a big move either way around next week's expiration), which usually resolves in the direction of the fundamental trend, and the fundamental trend is up. Watch for hyperscaler capex commentary in September — if Meta, Google, or Microsoft nudge 2027 numbers higher, NVDA breaks \$236 (the 52-week high) fast.

POLICY & POLITICAL WATCH

The elephant in the room is still China export controls — the Trump administration in August greenlit H20 chip sales to China with a 15% revenue kickback to the US government (unprecedented arrangement), which unlocked billions in revenue but also invites future political risk if that deal gets renegotiated. On the tailwind side, the CHIPS Act money is still flowing and the administration's "AI Action Plan" is explicitly pro-domestic-AI-buildout, which means federal contracts and DOE/DoD supercomputing spend keep flowing to NVDA. The wild card: antitrust noises from the FTC on NVDA's CUDA software moat — nothing filed, but Lina Khan-era investigations left behind files that the current DOJ could still act on.

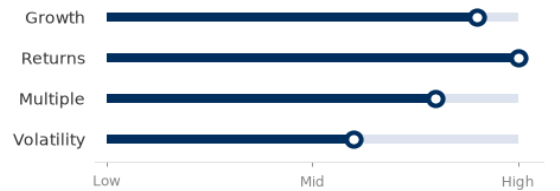
IS IT EXPENSIVE?

At ~45x forward earnings (you're paying \$45 for every \$1 of profit NVDA is expected to make next year), it looks expensive on the surface — but revenue is still growing 50%+ year-over-year, so on a PEG basis (price-to-earnings divided by growth rate) it's actually reasonable at under 1.0, which value investors consider cheap. The \$5.29T market cap is eye-watering, but if data center revenue hits \$250B annualized by FY28, the stock is trading at roughly 20x that — not crazy for a company with 75% gross margins and no real competitor.

Key Data

Price (USD)	\$218.89
12M Price Target	\$260.00
Upside / (Downside)	+18.8%
Market Cap	\$5.29T
FY2027E Revenue	\$208M
FY2028E Revenue	\$265M
FY2027E EPS	\$4.85
FY2028E EPS	\$6.20
Fwd P/E	45.1x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$240.00	\$225.00	\$200.00
6 Months	\$265.00	\$240.00	\$190.00
1 Year	\$300.00	\$260.00	\$180.00
2 Years	\$380.00	\$310.00	\$170.00
5 Years	\$550.00	\$400.00	\$200.00
10 Years	\$900.00	\$600.00	\$250.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+2.05% today) — this is directly connected to AI, since data centers are power hogs and the SB Energy/OpenAI deal shows energy companies are now equity participants in the AI trade. Tech still leading on a 5-day basis (+3.22%).

COOLING OFF: Consumer Staples (-2.78% 5D) and Healthcare (-2.37% 5D) — classic defensive rotation OUT, which means risk appetite is high and money wants growth exposure.

ROTATION WATCH: Money is flowing from defensives into AI-adjacent trades (semis, power, data center infrastructure). That's a green light for NVDA specifically because it sits at the intersection of tech AND the energy/infrastructure buildup.

RELATED PLAY: The power side of AI is the sneaky trade — Constellation Energy (CEG), Vistra (VST), and data center REITs like Equinix (EQIX) benefit every time NVDA sells a GPU because those chips need electricity and real estate.

WHO'S WINNING IN THIS SPACE?

- AVGO (Broadcom): Motley Fool piece today flags it as catching up — Broadcom's custom AI chip business for hyperscalers is booming and it's the #2 AI infrastructure name behind NVDA.
- SMH (semis ETF proxy): The whole semi complex is riding the same wave — persistent AI capex.

NVDA CONTEXT: NVDA is leading, not lagging — near 52-week highs while the broader tech sector is only up modestly. That leadership tells you institutional money is still using NVDA as the primary AI expression, not rotating to cheaper alternatives yet.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

Position Size: 5-8% of portfolio

Entry Points: \$210-215 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Hyperscaler capex guidance cut >15% or China export ban tightens further

Hedging: Buy protective puts at \$200 strike or pair with short SMH position